ZIMBABWE SCHOOL EXAMINATIONS COUNCIL

General Certificate of Education Advanced Level

MARKING SCHEME

NOVEMBER 2023 SESSION

6001/3

ACCOUNTING

Question 1

(a) **(i)** Updated cashbook

	$		$
Balance b/d	14 800	Bank charges (4000–400)	2 700 (1)
Rajah Trade Rec/ Customer / Credit transfer	133 000 (1)	Plant and machinery (129000–29000)	100 000
		Trade receivable / Dishonour cheque	4 000 (1)
		Balance c/d	41 100
	147 800		147 800
Balance b/d	41 100		

3

(ii) Bank reconciliation statement at 31 December 2021

	$
Balance per cash book	41 100
+ oper **Add** Unpresented cheques	8 750 (1)
	49 850
Less Bank lodgement	(21 000) (1)
Balance per bank statement	28 850

Eopp

2

[2]

(iii)

		Dr $	Cr $
i)	Suspense	2 700	
	Cashbook/Bank		2 700 (1)
ii)	Repairs	3 500	
	Suspense	1 800	
	Buildings		5 300 (1)
iii)	Suspense		3 600 (1)
iv)	Suspense	7 260	
	Mark / Trade receivables		7 260 (1) 3130 4130
(v)	Discount allowed 7 1100 not allowed	550	
	Discount received	550	
	Suspense		1 100 (1)

[5]

(iv) **Corrected profit**

	$
Unadjusted profit	127 400
Depreciation on plant and machinery	(2 500) (1)
Repairs misposted	(3 500) (1)
Opening inventory understated	(3 600) (1)
Discount allowed understated	(550) (1)
Discount received corrected	(550) (1)
Purchases not posted	(1 500) (1)
Corrected net profit	115 200 (1) o.f.P

mark even if there are no narrations

Provided there is $127400 profit

[7]

(v)

Suspense account

	$		$
Cashbook	2 700 (1)	Trial balance difference	7 060
~~Machinery~~ Buildings	1 800 (1)	~~Opening inventory~~ / Trial bal	3 600 (1)
Mark / Trade receivables	7 260 (1)	Discount allowed	550 (1)
		Discount received	550 1
	11 760		11 760

Accept split figures

[6]

(b)

- it is included in the receivables or other receivables if it's a debit balance (1)
- included as payables or other payables if it's a credit balance (1)
- written off to the income statement (1) as an expense if it is a debit balance
- can be included under income if it is a credit balance (1)

It can be treated as an asset if DR bal max 2
can be treated as a liability if CR bal.

[2]

Question 2

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(a) (i)

		Dr $000	Cr $000
(i)	Provision for depreciation	90	
	Buildings	250 (1)	
	Revaluation reserve		340 (1)
(ii)	Revaluation reserve/share premium	200	
	Ordinary share capital		200 (1)
(iii)	Retained earnings	250	
	Capital redemption reserve		250 (1)
	Preference share capital	250	
	Retained earnings	25 (1)	
	Bank		275 (1)
Trading A/C (iv)	Retained earning / Cost sales / income stat	3	
	Inventory		3 (1)
(v)	Retained earnings	16	
	Inventory	64 (1)	
	Receivables / Barage		80 (1)
(vi)	Bank (200 × 0.60)	120	
	Ordinary share capital		100 (1)
	Share premium		20

[10]

alternative

Alternative

	Dr	Cr
Preference share capital	250	
Premium on redemption	25 (1)	
Bank		275
Retained earnings	25	
Premium on redemption		25 (1)

Sales 80
Barage 64
Closing inventory / Trading A/C / income state

80 I
64 I

(ii) Soft tree statement of financial position as at 11 June 2021.

	Cost $000	Acc. Dep $000	N.B.V $000
Non current assets			
Buildings	800	-	800 (1)
Plant and machinery	900	250	650
Motor vehicles	750	80	670
	2 450	330	2 120
Current assets			
Inventory (280 – 3 + 64)		341 (1)	
Trade receivables (1 220 – 80)		1 140 (1)	
Bank (340 – 275 + 120) o.f		185 (1)	1 666
			3 786
Equity and liabilities			
Ordinary shares of $0.50 (800 + 200 (1) + 100 (1)) **OR**			1 100 (2)
6% redeemable preference shares of $1 each (300 – 250)			50 (1)
Revaluation reserve (340 – 200)			140 (1) or 320
Share premium (250 + 20) –200			270 (1) or 70
Capital redemption reserve			250 (1)
General reserve			490
Retained earnings (780 – 250 – 25 – 3 – 16)			486 (2)
			2 786
~~Non current liabilities~~			
10% convertible loan			400
~~Current liabilities~~			
Trade payables		450	
Accrued expenses		150	600
			3 786
			[12]

issue ... ded ... an ... then ... Lwats ... has ... etc.

12

(b) (i)
- to be able to return surplus K to shareholders
- the funds generated in future operations may be used to replace the finance provided by the shares. (1)
- it allows the directors in future to get rid of problem shareholders (1) [2]
- to finance a project which has a specific duration [1]
- To release the organ the burden of a fiddend
- retain control of the Co / avoid dilution of ownership.

2

(ii)
- the predetermined price is less than the market price of the shares (1) [1]
- to enable the loan stockholder to vote at Annual General Meetings

When the business is making profits & the loan holder is expecting to higher dividends than interests on loans

25

Question 3

(a) **(i)** Purchase consideration = net assets taken over + goodwill

1 591 000 + 109 000

= $1 700 000 (1) [1]

Alternative

Business Purchase Account

	$		$
Vendor/partnership purchase	1 700 (1)	Land and buildings	1 300 000
		Plant and machinery	120 000
		Motor vehicles	45 000
		Inventory	82 000
		Trade receivables	44 000
		Purchased goodwill	109 000
	1 700 000		1 700 000

(ii) Number of ordinary shares

Vendors A/C

	$
Cash	200 000
Debentures $\left(\frac{8}{6} \times 300\,000\right)$	400 000
Ordinary shares and premium	1 100 000 (1)
	1 700 000

Number of ordinary shares = $\frac{1\,100\,000}{1.10}$

= **1 000 000** shares (1) [2]

(b) **(i)** Realisation account

	$		$
Land and buildings	1 050 000	Belfast Ltd	1 700 000 (1)
Plant and machinery	139 750	Payables	189 200
Motor vehicles	56 760		
Inventory	88 160		
Trade receivables	46 700 (1)		
Capital :Attack	189 200		
Capital :Attack	127 452		
Benson	127 452 (1)		
Casper	63 726		
	1 889 200		1 889 200

o.f from (i)

Total Assets 1381370

Profit on realisation

o.f for using correct ratio

[3]

- Alternatively, payables of $189 200 may not appear on both the debit and credit side of the realisation account. It can be taken directly to the credit side of Attack's capital account.

(ii) Capital accounts

	Attack	Benson	Casper		Attack	Benson	Casper
	$	$	$		$	$	$
Current account			14 000	Balance b/d	350 000	300 000	150 000
6% debentures	400 000 (1)			Current account	64 500	54 400 (1)	
Ordinary shares in Belfast	440 000	440 000	220 000 (1)	Realisation	127 452	127 452	63 726 (1)
Bank	191 152	41 852		8% loan	300 000 (1)		
				Payables	189 200 (1)		
				Bank			20 274 (1)
	1 031 152	481 852	234 000		1 031 152	481 852	234 000

o.f provided taken from Aii

taken from Aii o.f

o.f provided from Realisation A/C

o.f A/C

[7]

not accepting splits but taking total ordinary shares (Narration) accepting

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(iii) Statement of financial position as at 1 October 2020

	$	$
Non-current assets		
Goodwill		109 000 (1)
Land and buildings (3000000 + 1300000)		4 300 000 (1)
Plant and machinery (1500 000 + 120000)		1 620 000 (1)
Motor vehicles (400000+45000)		445 000 (1)
		6 474 000
Current assets		
Inventory (82000+250000)	332 000 (1)	
Trade receivables (420 000+44000)	464 000 (1)	
Cash and cash equivalents (380000−200000)	180 000 (1)	976 000
		7 450 000
Equity and liabilities		
Ordinary shares of $1 each (4500000 +1000000)		5 500 000 (1) o.f
Share premium (400000+100000)		500 000 (1) o.f
Retained earnings		250 000
General reserve		100 000
		6 350 000
Non-current liabilities		
6% debentures		400 000 (1) o.f
Current liabilities		
Trade payables		700 000
		7 450 000

Provided figure coming from Aii

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[10]

(c) An impairment loss is debited (1) to the income statement and deducted (1) from the book value of the non current asset in the statement of financial position. [2]

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charged as an expense 1

Question 4

(AP – SP)AQ or vice versa (2160000 – 2295000)

(a) (i) Material price variance (0,80 – 0,85) × 2 700 000 kg

= $135 000 adverse ~~(1)~~ 2

(AQ – SQ)SP (2240000 – 2160000)

(ii) Material usage variance (2 800 000 – 2 700 000) × $0.80

= $80 000 favourable ~~(1)~~ 2

(iii) Total material variance (2 240 00 – 2 295 000)

= $55 000 adverse (1) O.F

or

$135 000 Adverse + $80 000

= $55 000 adverse (1)

(iv) Labour rate variance (AR – SR) AH

(6 – 5,50) × 900000 hrs (5400000 – 4950 000)

$450 000 favourable ~~(1)~~ 2 MBC

(v) Labour efficiency variance (AH – SH)SR

(840 000 – 900 000) × $6 (5040 000 – 5400000)

= $360 000 adverse ~~(1)~~ 2 MBC

(vi) Total labour variance

5 040 000 – 4 950 000

= $90 000 favourable (1) O.F

or

$450 000 favourable + $360 000 adverse (FBS – AS)

$90 000 favourable (1)

(AP – SP)AV AQ

~~(ASP – SSP)AQ~~

(vii) Sales price variance (10080 000 – 10 640 000)

(18 – 19) × 560 000

= $560 000 favourable ~~(1)~~ 2 MBC

(viii) Sales volume variance (AQ – SQ)SP

(450 000 – 560 000) × $18

(8 100 000 10 080 000)

$1 980 000 favourable (1) 2 MBC

Flexible Budget Sales – Master budget Sales

(ix) Sales volume profit variance

(AQ – SQ) Standard Profit per unit

(450 000 – 560 000) × $5

$550 000 favourable (1) MBC

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(b) Profit calculation

	Flexed Budget	Budget $	Actual $
Sales	10 080 000	8 100 000	10 640 000 (1)
Less Direct materials	(2 240 000)	(1 800 000)	(2 295 000) (1)
Direct labour	(5 040 000)	(4 050 000)	(4 950 000) (1)
Fixed overheads	500 000	(500 000)	(500 000) (1)
	2 300 000	1 750 000	2 895 000 (1)

There should be both three

[5]

(c) **Reconciliation statement**

Flexed Budget

		$	$
Budgeted profit	2 300 0000		1 750 000
Add: favourable variances			
material usage	80 000	80 000 (1) o.f	
labour rate	450 000	450 000 (1) o.f	
sales price	560 000	560 000 (1) o.f	
sales volume profit		550 000 (1) o.f	1 640 000
	3390 000		3 390 000
Less: adverse variances			
material price	135 000	135 000 (1) o.f	
labour efficiency	360 000	360 000 (1) o.f	495 000
Actual profit	2895000		2 895 000 (1) o.f

These must be four

These must be two

this should be here

for all the favourable indicated

for all the Adverse

3

Provided operation is correct and budgeted profit is 1750000

[7]

(d) (i) Better quality (1) materials were bought at higher prices leading to material savings (1).

(ii) Lower grade (1) labour was used resulting in them working more (1) hours to complete the job. [4]

25

(Actual Vol – Budgeted Vol) Budgeted Profit per unit

(450000 – 560000) 3,89

= $ 427 906 F